Human Resource Management - Set 5

50 MCQs - 1 mark each - answers and explanations are at the end

> Choose the single best option. Do not look at the last pages until you finish.

1. Giving high ratings on all traits because of one strong trait is the
A. central tendency
B. halo effect
C. horns effect
D. strictness bias

2. 'Training = Today; Development = Tomorrow' means
A. training serves the present job; development serves future roles
B. development is meant for the workers only and training for managers
C. training is meant for the managers only and development for workers
D. both training and development are the same thing with one purpose

3. Adjudication of industrial disputes is done by
A. the personnel manager of the company, in consultation with the workers
B. the board of directors of the company by a majority vote
C. labour courts and industrial tribunals
D. the trade union and the employers' association jointly

4. BARS rates performance using
A. family reports and the personal opinions of the neighbours
B. behavioural statements anchored to levels of performance
C. random scores which are given without any behaviour examples
D. only the employee's own opinion about his work and effort

5. A works committee under the Industrial Disputes Act, 1947 is for
A. 10 or more workmen in any establishment of the country
B. 5 or more workmen in any establishment of the country
C. 100 or more workmen
D. any firm irrespective of the number of the workmen employed

6. In career planning, the employee acts as
A. the trade union leader who bargains for his promotion
B. the auditor who checks the career plans of the organisation
C. only a spectator while the manager decides his future
D. self-assessor of aspirations and needs

7. Development differs from training in that development is
A. only for new recruits
B. short-term and job-specific
C. long-term and career-oriented
D. only for workers

8. The eight-step bargaining procedure ends with
A. implementation and follow-up
B. ratification of the agreement by the members and the management
C. preparation of the data and the goals before the negotiation
D. compromise between the two sides on the matters under discussion

9. Which of the following is included in the scope of HRM?
A. Purchase of raw materials, storage and production scheduling
B. Recruitment, training, compensation and industrial relations
C. Product design, advertising, branding and sales promotion
D. Preparation of the balance sheet, audit and tax planning

10. Personal objectives of HRM refer to
A. maximising dividends to shareholders
B. complying with environmental laws
C. helping employees achieve their personal goals and growth
D. reducing taxes of the company

11. Compared with wages, salary usually refers to
A. monthly pay of clerical, managerial and professional staff
B. payment made to a worker for the number of units produced
C. bonus paid to workers at the time of festivals
D. hourly or daily pay of manual and unskilled workers

12. Workers' participation in management means
A. transferring the ownership of the factory to the workers
B. allowing the workers to go on strike whenever they want
C. giving the workers the right to fix the prices of the products
D. involving workers in decision-making of the organisation

13. Which is an EXTERNAL factor influencing compensation?
A. Inflation
B. Organisation's strategy
C. Employee seniority
D. Job evaluation

14. Valuing human resources as organisational assets rather than expenses is done through
A. Essay evaluation and the check list method of appraisal
B. Human Resource (Asset) Accounting
C. Straight ranking and paired comparison of employees
D. Critical incident records and the confidential reports

15. Which is INDIRECT compensation (fringe benefit)?
A. Overtime pay for the extra hours worked by the staff
B. Life and disability insurance
C. Commission paid on sales made by the employee
D. Performance pay linked to the results of the employee

16. Conflict handling under HRM means
A. avoiding communication
B. reaching a temporary truce
C. ignoring the conflict
D. managing climate and culture

17. Societal objectives of HRM mean
A. increasing the profits of the firm by cutting the wages of the workers
B. keeping the HR department's costs at the lowest possible level
C. helping every employee to fulfil his own personal ambitions at work
D. being ethically and socially responsible to society

18. A plan that bases bonuses on employee productivity measured by comparing labour cost to value of products produced is
A. piece rate
B. fringe benefit
C. gainsharing
D. profit sharing

19. Which is the correct order of the evolution of HRM?
A. Personnel management, Welfare, Digital HR, HRM
B. Welfare, Personnel management, HRM, Strategic and digital HR
C. HRM, Welfare, Personnel management, Digital HR
D. Digital HR, HRM, Personnel management, Welfare

20. A start-up with ten jobs and no pay structure would most easily use

A. the ranking method
B. market pricing only
C. Hay Guide Chart
D. national bargaining

21. 'How did they feel?' corresponds to Kirkpatrick's level
A. Reaction
B. Learning
C. Behaviour
D. Results

22. In grievance handling, a grievance should first be dealt with
A. by the trade union leader, before informing the management
B. at the lowest level, with the immediate superior
C. by an outside labour court, to ensure that the decision is impartial
D. by the Board of Directors, so that the decision is final and binding

23. Job analysis differs from job evaluation because job analysis
A. fixes wages directly
B. gathers information about a job
C. ascertains the worth of a job
D. evaluates employees

24. A healthy industrial relations climate requires the role of
A. employers and shareholders, with no role for the government
B. trade unions alone, since they represent the workers
C. government, trade unions and management together
D. courts and tribunals, which settle every dispute

25. Performance appraisal is the systematic evaluation of an employee's
A. seniority and the length of service of the employee only
B. religion and caste of the employee who is being evaluated
C. family background and the social status of the employee concerned
D. performance and potential in relation to job requirements

26. A series of positions through which individuals can be promoted, transferred and rotated is a
A. grievance procedure
B. job description
C. career path
D. wage board

27. Which of the following is listed in the scope of HRM in the deck?
A. HR records and HR information systems (HRIS)
B. Manufacturing of finished goods
C. Advertising and brand management
D. Preparing the balance sheet

28. The three levels of TNA are
A. organisational, task and individual
B. short-term, medium-term and long-term
C. internal, external and global
D. strategic, tactical and operational plans

29. Allowing review of the decision by a higher authority is the step of
A. Receive
B. Acknowledge
C. Analyse
D. Appeal

30. After an agreement is signed, the HR manager plays a crucial role in
A. day-to-day administration and implementation of the agreement
B. preparing the company's annual report for the shareholders

C. fixing the wage rates of employees who are not covered by the agreement
D. negotiating a fresh agreement with a rival trade union

31. According to the notes, up to what percentage of bargaining outcomes is influenced by the pre-negotiation process?
A. 50%
B. 10%
C. 25%
D. 83%

32. Organisational career management focuses on
A. fulfilling the personal hobbies and interests of employees outside work
B. reducing the number of positions available for promotion
C. deciding the career path of each employee without consulting him
D. meeting the organisation's workforce needs through planned career moves

33. Distributive bargaining is often described as
A. no-win
B. lose-lose
C. win-lose
D. win-win

34. Under the Industrial Disputes Act, the machinery for settling disputes includes
A. recruiting, selecting and hiring
B. advertising, selling and branding
C. budgeting and forecasting
D. conciliation, arbitration and adjudication

35. In the era of globalisation and digital transformation, the HR manager's role is shifting towards
A. strategic partner and change agent
B. purely administrative work
C. record keeper only
D. manual file maintenance

36. Which sequence shows the selection process?
A. Offer, interview, tests and screening of the applications at the end
B. Screening, application review, tests, interview, reference check, medical exam, offer
C. Medical exam, offer and interview before the screening of applications
D. Interview, advertisement and offer without any tests or reference check

37. Which law-related issue influences remuneration?
A. Regulation of import duties on raw materials
B. Rules on advertising of the company's products
C. Minimum wage and overtime rules
D. Laws on the registration of company trademarks

38. Tests improve selection decisions mainly by increasing
A. paperwork, recruitment cost and the time taken to fill vacancies
B. labour turnover and absenteeism among the new employees
C. the number of applications received from the candidates
D. reliability and validity

39. TNA is the systematic identification of
A. the number of trainers who are available inside the organisation
B. the training venue where the programme will finally be conducted
C. the total cost of training which is fixed in the annual budget
D. the gap between required and actual knowledge, skills and performance

40. The objectives of career planning include
A. avoiding any link between employee goals and the firm's needs
B. matching individual aspirations with organisational opportunities
C. increasing employee turnover so that fresh talent can be hired

D. reducing the number of promotions to control the wage bill

41. Training is mainly aimed at
A. improving employees' skills for their present jobs
B. increasing the dividend paid to the shareholders of the firm
C. reducing the number of employees on the rolls of the company
D. preparing employees for senior positions they may hold in the distant future

42. Which of the following is an aim of a compensation system?
A. Avoid any comparison with the pay offered by other employers
B. Increase industrial disputes between management and the unions
C. Attract and retain high-quality employees
D. Discourage extra role behaviour and reduce employee motivation

43. Quitting of work by a group of workers to pressure the employer to accept demands is a
A. strike
B. lockout
C. picketing
D. gherao

44. When a rater favours people who resemble the rater, the bias is
A. recency effect
B. similarity bias
C. halo effect
D. central tendency

45. A key difference between HRM and Personnel Management is that HRM
A. is only concerned with payroll
B. treats employees as valuable assets / resources
C. treats employees as a cost to be minimised
D. has no link with strategy

46. The Grievance Committee under the Model Grievance Procedure makes its recommendation within
A. 7 days
B. 3 days
C. 30 days
D. 48 hours

47. Using what the external labour market pays for similar jobs is the
A. point-factor method
B. market-pricing method
C. classification method
D. ranking method

48. Facilities required by law are called
A. recreational welfare
B. voluntary welfare
C. non-statutory welfare
D. statutory welfare

49. Training that uses a replica of the actual workplace away from production is
A. coaching
B. job rotation
C. apprenticeship
D. vestibule training

50. Job evaluation is a systematic way of determining
A. the value or worth of a job in relation to other jobs
B. the number of employees required for each job in the department
C. the information about the tasks and duties attached to a job
D. the performance of an employee in terms of the requirements of the job

Answer key - Set 5

1. **B**	11. **A**	21. **A**	31. **D**	41. **A**
2. **A**	12. **D**	22. **B**	32. **D**	42. **C**
3. **C**	13. **A**	23. **B**	33. **C**	43. **A**
4. **B**	14. **B**	24. **C**	34. **D**	44. **B**
5. **C**	15. **B**	25. **D**	35. **A**	45. **B**
6. **D**	16. **D**	26. **C**	36. **B**	46. **A**
7. **C**	17. **D**	27. **A**	37. **C**	47. **B**
8. **A**	18. **C**	28. **A**	38. **D**	48. **D**
9. **B**	19. **B**	29. **D**	39. **D**	49. **D**
10. **C**	20. **A**	30. **A**	40. **B**	50. **A**

Answers with explanations

1. Giving high ratings on all traits because of one strong trait is the

Answer: B. halo effect

Why correct: Halo effect: one strong trait makes the rater score every trait high.

A is wrong: Central tendency means rating everyone average.

C is wrong: Horns effect is the opposite - one weak trait pulls everything down.

D is wrong: Strictness bias means rating too low across the board.

2. 'Training = Today; Development = Tomorrow' means

Answer: A. training serves the present job; development serves future roles

Why correct: It contrasts present and future.

B is wrong: Development is mainly for managers.

C is wrong: Training is mainly for operatives.

D is wrong: They are different.

3. Adjudication of industrial disputes is done by

Answer: C. labour courts and industrial tribunals

Why correct: Adjudication is by labour courts and tribunals and is binding.

A is wrong: The personnel manager is a party.

B is wrong: The board is a party.

D is wrong: Union and employers jointly is bargaining.

4. BARS rates performance using

Answer: B. behavioural statements anchored to levels of performance

Why correct: BARS anchors ratings to behaviours.

A is wrong: Not BARS.

C is wrong: Not BARS.

D is wrong: Not BARS.

5. A works committee under the Industrial Disputes Act, 1947 is for

Answer: C. 100 or more workmen

Why correct: The deck states 100 or more.

A is wrong: Not the stated threshold.

B is wrong: Not the stated threshold.

D is wrong: There is a size threshold.

6. In career planning, the employee acts as

Answer: D. self-assessor of aspirations and needs

Why correct: In career planning the employee assesses his own aspirations and needs.

A is wrong: Bargaining is a union function.

B is wrong: Auditing the organisation's plans is not the employee's role.

C is wrong: The employee takes part actively, not as a spectator.

7. Development differs from training in that development is

Answer: C. long-term and career-oriented

Why correct: Development is long-term and career oriented; training is short-term.

A is wrong: It is for all employees, not only new ones.

B is wrong: That describes training.

D is wrong: Development is for managers and workers.

8. The eight-step bargaining procedure ends with

Answer: A. implementation and follow-up

Why correct: Implementation is last.

B is wrong: Ratification is step 7.

C is wrong: Preparation is first.

D is wrong: Compromise is step 5.

9. Which of the following is included in the scope of HRM?

Answer: B. Recruitment, training, compensation and industrial relations

Why correct: HRM's scope follows the employee life cycle: recruitment, training, compensation and industrial relations.

A is wrong: Purchase and production scheduling are operations.

C is wrong: Product design and advertising are marketing.

D is wrong: Balance sheet, audit and tax are finance and accounts.

10. Personal objectives of HRM refer to

Answer: C. helping employees achieve their personal goals and growth

Why correct: Personal objectives help employees reach their own goals and grow, which keeps them motivated.

A is wrong: Dividends are a shareholder / finance matter.

B is wrong: Environmental law compliance is a societal objective.

D is wrong: Tax reduction is a finance matter.

11. Compared with wages, salary usually refers to

Answer: A. monthly pay of clerical, managerial and professional staff

Why correct: Salary is usually monthly pay of clerical, managerial and professional staff.

B is wrong: Per unit pay is piece rate.

C is wrong: Festival payment is bonus.

D is wrong: Hourly or daily pay is wage.

12. Workers' participation in management means

Answer: D. involving workers in decision-making of the organisation

Why correct: Workers' participation means involving workers in decision-making.

A is wrong: Ownership transfer is not participation.

B is wrong: Strike whenever is not participation.

C is wrong: Fixing prices is not their role.

13. Which is an EXTERNAL factor influencing compensation?

Answer: A. Inflation

Why correct: Inflation is outside the firm's control, so external.

B is wrong: Strategy is internal.

C is wrong: Seniority is internal.

D is wrong: Job evaluation is internal.

14. Valuing human resources as organisational assets rather than expenses is done through

Answer: B. Human Resource (Asset) Accounting

Why correct: Human Resource Accounting values people as assets.

A is wrong: Essay and check list are traditional methods.

C is wrong: Ranking and paired comparison are traditional methods.

D is wrong: Critical incidents and confidential reports are traditional methods.

15. Which is INDIRECT compensation (fringe benefit)?

Answer: B. Life and disability insurance

Why correct: Insurance is a benefit.

A is wrong: Overtime is direct.

C is wrong: Commission is direct.

D is wrong: Performance pay is direct.

16. Conflict handling under HRM means

Answer: D. managing climate and culture

Why correct: HRM manages climate and culture.

A is wrong: HRM uses direct communication.

B is wrong: A temporary truce is PM.

C is wrong: Conflicts are not ignored.

17. Societal objectives of HRM mean

Answer: D. being ethically and socially responsible to society

Why correct: Societal objectives mean the firm behaves ethically and responsibly towards society.

A is wrong: Cutting wages to raise profit is unethical, the opposite of societal responsibility.

B is wrong: Keeping HR cost lowest is a functional-cost matter, not societal.

C is wrong: Personal ambitions of employees are personal objectives.

18. A plan that bases bonuses on employee productivity measured by comparing labour cost to value of products produced is

Answer: C. gainsharing

Why correct: Gainsharing shares savings from higher productivity.

A is wrong: Piece rate is per unit.

B is wrong: Fringe benefits are not bonuses.

D is wrong: Profit sharing uses overall profit.

19. Which is the correct order of the evolution of HRM?

Answer: B. Welfare, Personnel management, HRM, Strategic and digital HR

Why correct: W-P-H-D: care, admin, develop, strategise.

A is wrong: Welfare is the earliest stage.

C is wrong: Welfare came first, before HRM.

D is wrong: That is the reverse order.

20. A start-up with ten jobs and no pay structure would most easily use

Answer: A. the ranking method

Why correct: Ranking is simple for few jobs.

B is wrong: Market pricing needs data.

C is wrong: Hay is complex.

D is wrong: Bargaining is not a method.

21. 'How did they feel?' corresponds to Kirkpatrick's level

Answer: A. Reaction

Why correct: Level 1 = Reaction.

B is wrong: Learning asks what they learned.

C is wrong: Behaviour asks whether work changed.

D is wrong: Results asks about business impact.

22. In grievance handling, a grievance should first be dealt with

Answer: B. at the lowest level, with the immediate superior

Why correct: A grievance should first go to the immediate superior so it can be settled at once.

A is wrong: Informing the union first bypasses management.

C is wrong: A labour court is the last step.

D is wrong: The Board is too high for a first step.

23. Job analysis differs from job evaluation because job analysis

Answer: B. gathers information about a job

Why correct: Job analysis gathers facts about a job; job evaluation sets its worth.

A is wrong: Job analysis does not fix wages.

C is wrong: Ascertaining worth is job evaluation.

D is wrong: Evaluating employees is appraisal.

24. A healthy industrial relations climate requires the role of

Answer: C. government, trade unions and management together

Why correct: Good IR needs government, unions and management working together.

A is wrong: Government has a role.

B is wrong: Unions alone cannot do it.

D is wrong: Courts handle only unresolved disputes.

25. Performance appraisal is the systematic evaluation of an employee's

Answer: D. performance and potential in relation to job requirements

Why correct: It judges performance and potential.

A is wrong: Seniority alone is not appraisal.

B is wrong: Not relevant.

C is wrong: Not relevant.

26. A series of positions through which individuals can be promoted, transferred and rotated is a

Answer: C. career path

Why correct: A career path is the ladder of positions an employee can move through.

A is wrong: A grievance procedure handles complaints.

B is wrong: A job description lists duties of one job.

D is wrong: A wage board fixes wages.

27. Which of the following is listed in the scope of HRM in the deck?

Answer: A. HR records and HR information systems (HRIS)

Why correct: HRIS is part of the HR scope.

B is wrong: That is production.

C is wrong: That is marketing.

D is wrong: That is accounting.

28. The three levels of TNA are

Answer: A. organisational, task and individual

Why correct: O-T-I = Organisation, Task, Individual.

B is wrong: Time periods are not TNA levels.

C is wrong: These describe environments.

D is wrong: These describe plans.

29. Allowing review of the decision by a higher authority is the step of

Answer: D. Appeal

Why correct: Appeal = higher review.

A is wrong: Receive takes the complaint.

B is wrong: Acknowledge confirms receipt.

C is wrong: Analyse examines evidence.

30. After an agreement is signed, the HR manager plays a crucial role in

Answer: A. day-to-day administration and implementation of the agreement

Why correct: After signing, the HR manager must run the agreement day to day.

B is wrong: The annual report is not the HR manager's duty here.

C is wrong: Employees outside the agreement are not covered by it.

D is wrong: A fresh agreement with a rival union is not the task.

31. According to the notes, up to what percentage of bargaining outcomes is influenced by the pre-negotiation process?

Answer: D. 83%

Why correct: The notes say about 83% of the outcome is shaped before negotiation, so preparation matters most.

A is wrong: 50% is not the figure given.

B is wrong: 10% understates the importance of preparation.

C is wrong: 25% is not the figure given.

32. Organisational career management focuses on

Answer: D. meeting the organisation's workforce needs through planned career moves

Why correct: Organisational career management meets the firm's workforce needs through planned moves.

A is wrong: Hobbies are not its focus.

B is wrong: Reducing positions is not the aim.

C is wrong: Deciding without consulting is poor practice.

33. Distributive bargaining is often described as

Answer: C. win-lose

Why correct: It divides a fixed gain.

A is wrong: Not the description.

B is wrong: Not the description.

D is wrong: That is integrative.

34. Under the Industrial Disputes Act, the machinery for settling disputes includes

Answer: D. conciliation, arbitration and adjudication

Why correct: Dispute machinery: conciliation, arbitration, adjudication.

A is wrong: Recruiting and hiring is procurement.

B is wrong: Advertising, selling, branding is marketing.

C is wrong: Budgeting is finance.

35. In the era of globalisation and digital transformation, the HR manager's role is shifting towards

Answer: A. strategic partner and change agent

Why correct: With globalisation and digital change HR moves from paperwork to being a strategic partner and change agent.

B is wrong: Purely administrative work is the old role.

C is wrong: Record keeping alone is the old role.

D is wrong: Manual file maintenance is outdated and being automated.

36. Which sequence shows the selection process?

Answer: B. Screening, application review, tests, interview, reference check, medical exam, offer

Why correct: This matches the deck's flow.

A is wrong: The offer comes last.

C is wrong: The medical exam comes late.

D is wrong: Advertising is recruitment.

37. Which law-related issue influences remuneration?

Answer: C. Minimum wage and overtime rules

Why correct: Minimum wage and overtime laws set legal pay floors.

A is wrong: Import duties are trade law.

B is wrong: Advertising rules are marketing law.

D is wrong: Trademark laws are IP law.

38. Tests improve selection decisions mainly by increasing

Answer: D. reliability and validity

Why correct: Tests give consistent (reliable) and job-relevant (valid) results.

A is wrong: Tests do not aim to add paperwork or cost.

B is wrong: Good tests lower turnover and absenteeism.

C is wrong: Tests screen applicants, not increase the number.

39. TNA is the systematic identification of

Answer: D. the gap between required and actual knowledge, skills and performance

Why correct: TNA finds the gap.

A is wrong: Trainers are a resource.

B is wrong: Venue is a logistics item.

C is wrong: Cost is a budget item.

40. The objectives of career planning include

Answer: B. matching individual aspirations with organisational opportunities

Why correct: Career planning matches personal aspirations with organisational opportunities.

A is wrong: Avoiding a link defeats the purpose.

C is wrong: Higher turnover is not an aim.

D is wrong: Fewer promotions is not an aim.

41. Training is mainly aimed at

Answer: A. improving employees' skills for their present jobs

Why correct: Training improves skills for the present job.

B is wrong: Dividends are not a training aim.

C is wrong: Training does not aim to cut staff.

D is wrong: Preparing for senior roles is development.

42. Which of the following is an aim of a compensation system?

Answer: C. Attract and retain high-quality employees

Why correct: A compensation system should attract and retain good people.

A is wrong: Comparison with other employers is needed.

B is wrong: It should reduce, not increase, disputes.

D is wrong: It should encourage, not discourage, extra effort.

43. Quitting of work by a group of workers to pressure the employer to accept demands is a

Answer: A. strike

Why correct: A strike is workers stopping work to press demands.

B is wrong: Lockout is an employer's act.

C is wrong: Picketing blocks entry.

D is wrong: Gherao confines managers.

44. When a rater favours people who resemble the rater, the bias is

Answer: B. similarity bias

Why correct: Similarity bias favours similar people.

A is wrong: Recency: recent events dominate.

C is wrong: Halo: one strong trait inflates all.

D is wrong: Central tendency: all near the middle.

45. A key difference between HRM and Personnel Management is that HRM

Answer: B. treats employees as valuable assets / resources

Why correct: HRM sees people as valuable assets that can be developed; personnel management saw them as a cost.

A is wrong: Payroll-only is the old personnel view.

C is wrong: That is the personnel management view.

D is wrong: HRM is linked to strategy.

46. The Grievance Committee under the Model Grievance Procedure makes its recommendation within

Answer: A. 7 days

Why correct: The Grievance Committee gives its recommendation within 7 days.

B is wrong: 3 days is the department head's time.

C is wrong: 30 days is too long.

D is wrong: 48 hours is the officer's time.

47. Using what the external labour market pays for similar jobs is the

Answer: B. market-pricing method

Why correct: Market pricing uses external pay.

A is wrong: Point-factor is scoring.

C is wrong: Classification is grading.

D is wrong: Ranking is internal ordering.

48. Facilities required by law are called

Answer: D. statutory welfare

Why correct: Statutory = required by law.

A is wrong: Recreational is a type by purpose.

B is wrong: Voluntary is non-statutory.

C is wrong: Non-statutory is voluntary.

49. Training that uses a replica of the actual workplace away from production is

Answer: D. vestibule training

Why correct: Vestibule training uses a replica of the workplace.

A is wrong: Coaching is on the job.

B is wrong: Job rotation is on the job.

C is wrong: Apprenticeship is on the job.

50. Job evaluation is a systematic way of determining

Answer: A. the value or worth of a job in relation to other jobs

Why correct: Job evaluation determines a job's worth relative to other jobs to build a fair pay structure.

B is wrong: Number of employees is manpower planning.

C is wrong: Tasks and duties information is job analysis.

D is wrong: Employee performance is appraisal.